

Registration number: Ooni Limited: 08316049

Ooni Limited

Annual Report and Consolidated Financial Statements

for the Year Ended 31 December 2022



Ooni Limited

Contents

Company Information	1
Strategic Report	2 to 4
Directors' Report	5 to 8
Statement of Directors' Responsibilities	9
Independent Auditor's Report	10 to 13
Consolidated Profit and Loss Account	14
Consolidated Balance Sheet	15
Balance Sheet	16
Consolidated Statement of Changes in Equity	17
Statement of Changes in Equity	18
Consolidated Statement of Cash Flows	19
Notes to the Financial Statements	20 to 43

Ooni Limited

Company Information

Directors	A Brown D Garland P Ross M K Tapaninaho
Registered office	Walderslade Accounting Services 105 Hopewell Business Centre Unit 20 Hopewell Drive Chatham Kent ME5 7DX
Auditors	RSM UK Audit LLP Chartered Accountants Third Floor Centenary House 69 Wellington Street Glasgow G2 6HG

Ooni Limited

Strategic Report for the Year Ended 31 December 2022

The directors present their strategic report for the year ended 31 December 2022.

Fair review of the business

The principal activities of the group are to develop, market and sell portable pizza ovens and related accessories for use at home.

Against what transpired to be an extremely challenging period for consumer products globally, and in particular the outdoor market, we are pleased to have maintained our turnover against the exceptional results of 2021.

Our multi-channel, multi-regional strategy serves to maximise the revenue of the business and provide diversified income streams. In 2022, we have bolstered our resources and technical capability across the company, with average headcount increasing 88% to 277 (2021: 147). This investment in people has been evident across all areas of the business, but in particular we have focused heavily on our go to market capability in digital marketing and ecommerce, as well as our international sales teams, to strengthen our relationships with some of the world's most well known retailers.

The Ooni brand continues to grow in consumer awareness across all of our markets as a result of our marketing activities, combined with our award-winning products and word-of-mouth referrals and development of our global retailer and distributor relationships.

We have increased our investment in product development and innovation. Activities in 2022 came to bear in early 2023, with the launch of our first electric oven, Ooni Volt, and the next generation wood fired oven, Karu 12G. Along with numerous accessory launches, these ovens demonstrate the leading position of Ooni's products in the market, developing exceptional pizza making experiences for our customers.

In January 2023, the Directors were delighted to announce that Ooni became a Certified B Corp™. After undertaking a rigorous assessment and verification process, we have joined a community of like-minded companies and leaders using business as a force for good. We note the amendment to the Ooni Limited company articles to include our commitment to having a material positive impact on society and environment.

Principal risks and uncertainties

Global Political & Taxation / Tariff Changes - we import our manufactured products into the US, UK and EU. We remain subject to the risk of political change and policies impacting upon our impact capability, cost base and potential tariffs or duties.

Foreign currency risk - the group's key currencies are Sterling, Euro and US dollar. The group is exposed to transaction based foreign currency risk, which has historically been managed through a natural hedge due to non-sterling denominated trading activity which offsets exposure to the cost base.

Product failure - the group produces products which operate using combustible materials at high temperatures. The group is exposed to the risk that a fault in such a product could lead to a product recall, or worse, serious injury. The group has an extensive testing program in place to ensure that the design of products is in line with applicable certification standards, and a rigorous multi-stage quality control procedure to inspect and test products once manufactured.

Liquidity risk - the directors regularly review the forward-looking cash flow position to manage any liquidity risk. In February 2022, Ooni Limited extended its revolving credit facility to £50m to support working capital requirements driven by rapid growth. At the date of signing these accounts, the group remains within the limits of agreed banking covenants. As the cash pressure of growth has declined, we have reduced our credit facility limit to £20m, and at the date of these accounts less than £10.0m of the loan facility remains drawn.

Ooni Limited

Strategic Report for the Year Ended 31 December 2022 (continued)

Systems risk - much of the group's revenue is derived from web sales. If our website went down for an extended period this would negatively impact trade. The group's website is hosted by one of the world's leading ecommerce platform providers, and the group employs an internal web development team and external IT support function for maintenance and ongoing cyber security and resilience respectively.

Customer communities - customer advocacy is recognised as a key driver of Ooni's success. The rapid growth of the business and increase in customer base may put additional pressure on supply chain and customer support response times, and thus impacting customer satisfaction and brand loyalty. We continue to invest heavily in people and systems to optimise the customer journey, including after-sale support. In 2022, we grew our customer support team from 21 people to 46 to cope with increase in demand.

Key performance indicators

Turnover for the year was £208m (2021: £208m), driven by continued marketing activities to grow awareness of our products and the broader pizza oven category across all channels and geographies. Our channel mix, which is a key driver of gross margin, remained broadly flat versus 2021. As such, gross profit as a percentage of turnover was 54% (2021: 53%).

The operating profit for the year was £29k (2021: £45.0m). Along with a planned increase in headcount and general operating overheads to support the group's longer term ambitions, this decrease was driven principally by the exorbitant global freight rates experienced between late 2021 and the end of 2022. Combined with detention charges incurred as a result of port congestion, door to door inbound freight rates peaked at up to 15 times the pre-pandemic averages. We are relieved to see rates return to normal as of early 2023.

Charitable pledge - Ooni is committed to donating 1% of global revenues to charitable causes. In 2022, we spent £0.17m on social and environmental causes, planting over 0.8m trees in 2022 with the Eden Reforestation Projects in Madagascar. The remainder of our 2022 pledge will be donated in 2023.

Other key performance indicators

The group reviews a range of short and medium-term performance indicators. These include: detailed performance metrics of web sales such as conversion rates, cost per customer acquisition and average transaction value; customer net promoter score and employee net promoter score. In 2022, the group performed strongly across all of these measures, driven by our continued excellent revenue results, demand for our products, and product price increases, as well as continued investment in the business and our people.

Future developments

2022 has been a year of transition for Ooni, emerging from the rapid growth brought about by the Covid-19 pandemic and building the systems, processes and infrastructure to sustain the scaled up operations across our whole business. We do not anticipate 2023 to bring significant revenue growth, but will spend this time building new retailer relationships, launching products and strengthening our team. The Directors are confident in growth in profit in 2023 and beyond, particularly as a result of ocean freight rates returning to normal levels.

We continue to reinvest our profits in the business, primarily focused on investment in product development to ensure that Ooni products remain at the forefront of the industry, and building sales and brand awareness across all channels.

Ooni Limited

Strategic Report for the Year Ended 31 December 2022 (continued)

Going concern

At 31 December the Group's cash position was £7.8m. Drawings on the revolving credit facility were £28.6m. The group remains profitable in its forecast results and positive cash flow generation is expected in the next financial year and beyond.

The directors have reviewed the current performance and cash flow forecasts, and are satisfied that the group's forecasts and projections, taking account of potential changes in trading performance, show that the group will be able to operate within its facilities for the foreseeable future, and at a minimum for 12 months from the date of signing the financial statements. The Group's revolving credit facility is due for renewal in February 2024. Based on forecasts, and sensitivities, it is unlikely that a similar facility that is currently in place will be required, however the directors are confident that an appropriate facility will be in place to succeed this lending.

The directors have therefore continued to accept the going concern basis in preparing the group's financial statements.

Directors duties

Section 172 of the Companies Act 2006 requires directors to take into consideration the interests of stakeholders in their decision making. The directors continue to have regard to the interests when making decisions, including the impact of its activities on the community, environment and the company's reputation.

Acting in good faith and fairly, the directors consider what is most likely to promote the success of the company for its members in the long term. Whilst the importance of giving due consideration to our stakeholders is not new, this explains in more detail this year how the Board engages with stakeholders and setting out how directors have discharged this duty.

All directors are aware of their statutory duties and on appointment to the Board, new directors are given opportunity to meet key stakeholders. The Board will continue to keep engagement methods under review to ensure that they remain effective. The following key points are important in the assessment of the compliance with the requirements of the s172 Statement:

- The Board regularly considers the principal stakeholders and how they engage with them. The Board seeks to consider the needs and priorities of each stakeholder group during its discussions and as part of its decision making.
- The long term strategy of the company is monitored regularly to ensure this aligns with the vision of the group as a whole. The resulting assessment of future development helps inform the Board's decision making and the balance between short term and long term measures and actions.
- The Board continues to enhance its methods of engagement with the workforce through regular internal communications which are delivered by the management teams.
- The group's policies on a wide range of business and ethics related practices are regularly reviewed and updated as necessary so as to ensure continued compliance with legal and regulatory requirements and good industry practice. The Board monitor the group's policies through the ordinary course of business to ensure the policies are being adhered to.

Approved and authorised by the Board on 12 October 2023 and signed on its behalf by:



.....
A Brown
Director

Ooni Limited

Directors' Report for the Year Ended 31 December 2022

The directors present their annual report and the financial statements for the year ended 31 December 2022.

Principal activities

The principal activity of the company and group continued to be the sale and distribution of pizza ovens and accessories.

Results and dividends

The results for the year are set out on page 14.

Ordinary dividends were paid amounting to £2,036,189 (2021: £2,122,850). The directors do not recommend payment of a further dividend.

Directors of the group

The company has made qualifying third party indemnity provisions for the benefit of its directors during the year. These provisions remain in force at the reporting date.

The directors who held office during the year and to the date of this report were as follows:

A Brown

D Garland

P Ross

M K Tapaninaho

Reappointment of auditors

In accordance with section 485 of the Companies Act 2006, a resolution for the re-appointment of RSM UK Audit LLP as auditors of the group is to be proposed at the forthcoming Annual General Meeting.

Non-financial and sustainability information

Energy and carbon report

This section discloses our energy consumption, carbon footprint & energy efficiency initiatives from January to December 2022 in line with the UK Government's Streamlined Energy and Carbon Reporting (SECR) regulation - under the Companies (Directors' Report) and Limited Liability Partnerships (Energy and Carbon Report) Regulations 2018.

As a large unquoted company with UK energy use over 40MWh, we are required to disclose associated UK GHG emissions from energy use. In 2021, we voluntarily reported additional data on our global GHG emissions in the form of a full Scope 3 measurement. In 2022, we have focused efforts on putting plans in place to reduce these emissions. Therefore, a full Scope 3 measurement had not been completed at the time of reporting.

Ooni Limited

Directors' Report for the Year Ended 31 December 2022 (continued)

Emissions and energy consumption

Summary of greenhouse gas emissions and energy consumption for the year ended 31 December 2022:

Name and description	Metric and / or KPI	2022	2021
Gas combustion	KWh	67,104.00	60,436.00
Fuel consumed for transport	KWh	0.00	0.00
Electricity purchased	KWh	100,317.00	50,474.00
Combustion of fuels for product testing	KWh	21,331.00	16,783.00
		<u>188,752.00</u>	<u>127,693.00</u>

Summary of scope 1 (direct) greenhouse gas emissions for the year ended 31 December 2022:

Name and description	Metric and / or KPI	2022	2021
Consumption of gas & fuels for office heating & product testing	Metric tonnes	0.00	0.00
Natural gas	Metric tonnes	13.80	12.17
Product testing fuels	Metric tonnes	2.90	3.00
Refrigerants	Metric tonnes	1.10	91.28
		<u>17.80</u>	<u>106.45</u>

Summary of scope 2 (indirect) greenhouse gas emissions for the year ended 31 December 2022:

Name and description	Metric and / or KPI	2022	2021
Purchased/Acquired Electricity	Metric tonnes	84.00	20.00
Market-based	Metric tonnes	83.00	20.50
Location-based	Metric tonnes	101.00	30.38
		<u>268.00</u>	<u>70.88</u>

Summary of scope 3 (other indirect) greenhouse gas emissions for the year ended 31 December 2022:

Name and description	Metric and / or KPI	2022	2021
Fuels-and-Energy-Related-Activities (FERA)	Metric tonnes	12.20	12.00
Waste	Metric tonnes	0.50	0.00
Business travel	Metric tonnes	474.40	34.00
Employee commuting	Metric tonnes	63.70	57.60
		<u>550.80</u>	<u>103.60</u>

Summary of energy consumption for the year ended 31 December 2022:

Name and description	Metric and / or KPI	2022	2021
Total gross emissions (Scope 1, 2 and selected categories of Scope 3)	Metric tonnes	<u>651.80</u>	<u>230.00</u>

Ooni Limited

Directors' Report for the Year Ended 31 December 2022 (continued)

Intensity ratio

Scope 1 & 2 & select categories of Scope 3.

	<u>2022</u>	<u>2021</u>
Tonnes CO ₂ e per £million of turnover	3.09	0.77

Quantification and reporting methodology

A full list of conversion factors and assumptions used can be found under the Transparency & Reporting section at <https://uk.ooni.com/pages/impact>.

This summary has been prepared following the GHG Reporting Protocol - Corporate Standard & using the guidance set out in the UK Government Environmental Reporting Guidelines (March 2019). We continue to work to increase the quality of our data - direct activity data has been used for all UK-based categories. Direct energy consumption data has been sourced from utility suppliers & internal meter data monitored monthly across our two UK offices. For our global GHG emissions, the natural gas and scope 2 electricity data for our US and German offices were again estimated using the equivalent UK office data and square footage. Energy totals are on a gross calorific value basis.

In 2021, it was assumed that the US office had mains gas. Upon further investigation combined with a mid-year move to a new US office space, it is now known that neither US office had mains gas. This explains the decrease in natural gas tCO₂e from 2021 to 2022. Also in 2021, the net calorific value conversion factor was used whilst in 2022 the gross calorific value factor was used.

There are no air conditioning units (refrigerants) in the Bonn office - in 2021 it had been assumed that there were, hence the retrospective change of the 2021 Refrigerants total (from 96.03 to 91.28 tonnes).

Global data includes our 2 UK offices, German office and US office. In mid 2022, we established a small team working in a shared office in Australia - due to data availability, this has not been included.

In 2021, there were two errors in the UK energy consumption section associated with Testing Fuels:

- This category was mistakenly listed as "Fuel consumed for transport" instead of "combustion of fuels for product testing" or "testing fuels".
- Whilst the associated tCO₂e from this category was correct, the listed kWh figure was incorrect. This has retrospectively been updated.

The 2022 UK Government GHG Conversion Factors for Company Reporting published by the UK Department for Environment Food & Rural Affairs (DEFRA) were used to convert our operational energy use to emissions of CO₂e. This is our second SECR reporting year.

Ooni Limited

Directors' Report for the Year Ended 31 December 2022 (continued)

Intensity measurement

This allows for a fair comparison over time taking into account growth & cyclical variations.

Total annual turnover used for intensity ratio was £207,950,656.

tCO₂e per £million of turnover = 0.77

Measures taken to improve energy efficiency

Our scope 1, 2 and selected Scope 3 category emissions decreased to 100.7 tCO₂e (2021: 140.4 tCO₂e). This is mainly due to the significant refrigerant recharge in 2021, whilst there were no recharges in 2022.

In kWh terms, our UK energy consumption increased to 188,752 kWh (2021: 127,693 kWh). This was driven by increases in office usage, employee numbers, office floor area used, product testing and business travel. Due to Covid-19 restrictions, our offices were not used regularly in early 2021 - when energy consumption is usually highest. By contrast, our offices were used regularly throughout 2022 including during the colder and typically more energy intensive winter season.

Previously, for our UK Broxburn office ('Ooni Park') we leased 3 units of a multi-unit business park. In 2022, we took ownership of the whole business park - acquiring new units with their own historic energy providers and sub-metering. This has increased our office area and therefore increased energy usage. In early 2023, we will receive external energy savings recommendations as part of our ESOS audit. We will also move all units onto one renewable energy tariff.

Measures taken to improve energy efficiency:

- We gained another UK office and built this out with the environment in mind - it has 8 electric vehicle (EV) charging points, motion sensor lighting and good public transport connections.
- Energy meters are monitored monthly across both UK offices.
- We continued our partnership with Pawprint (a climate behaviour change app) to educate and engage our team on actions they can take to reduce their carbon footprint at home and at work. In 2022, we ran two different months of concentrated action ('sprints'). Across the year, 140 members took part, tracking over 7000 actions and forming 196 new sustainable habits to save an annual total of 21.23 tCO₂e.

Disclosure of information to the auditor

Each director has taken steps that they ought to have taken as a director in order to make themselves aware of any relevant audit information and to establish that the company's auditor is aware of that information. The directors confirm that there is no relevant information that they know of and of which they know the auditor is unaware.

Approved and authorised by the Board on 12 October 2023 and signed on its behalf by:



.....
A Brown
Director

Ooni Limited

Statement of Directors' Responsibilities

The directors are responsible for preparing the Strategic Report and the Directors' Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare group and company financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the group and the company and of the profit or loss of the group and the company for that period. In preparing each of the group and company financial statements, the directors are required to:

- select suitable accounting policies and apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the group and the company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the group's and the company's transactions and disclose with reasonable accuracy at any time the financial position of the group and the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the group and the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

Ooni Limited

Independent Auditor's Report to the Members of Ooni Limited

Opinion

We have audited the financial statements of Ooni Limited (the 'parent company') and its subsidiaries (the 'group') for the year ended 31 December 2022 which comprise the Consolidated Profit and Loss Account, Consolidated Balance Sheet, Balance Sheet, Consolidated Statement of Changes in Equity, Statement of Changes in Equity, Consolidated Statement of Cash Flows and notes to the financial statements, including significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland" (United Kingdom Generally Accepted Accounting Practice).

In our opinion the financial statements:

- give a true and fair view of the state of the group's and the parent company's affairs as at 31 December 2022 and of the group's loss for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the auditor responsibilities for the audit of the financial statements section of our report. We are independent of the group in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Conclusions relating to going concern

In auditing the financial statements, we have concluded that the director's use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the group or the parent company's ability to continue as a going concern for a period of at least twelve months from when the original financial statements were authorised for issue.

Our responsibilities and the responsibilities of the directors with respect to going concern are described in the relevant sections of this report.

Other information

The other information comprises the information included in the annual report, other than the financial statements and our auditor's report thereon. The directors are responsible for the other information contained within the annual report. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the course of the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Ooni Limited

Independent Auditor's Report to the Members of Ooni Limited (continued)

Opinion on other matter prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the Strategic Report and Directors' Report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the Strategic Report and Directors' Report have been prepared in accordance with applicable legal requirements.

Matters on which we are required to report by exception

In the light of our knowledge and understanding of the company and its environment obtained in the course of the audit, we have not identified material misstatements in the Strategic Report and the Directors' Report.

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept by the parent company, or returns adequate for our audit have not been received from branches not visited by us; or
- the parent company financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Responsibilities of directors

As explained more fully in the Statement of Directors' Responsibilities set out on page 9, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

Auditor Responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

The extent to which the audit was considered capable of detecting irregularities, including fraud

Irregularities are instances of non-compliance with laws and regulations. The objectives of our audit are to obtain sufficient appropriate audit evidence regarding compliance with laws and regulations that have a direct effect on the determination of material amounts and disclosures in the financial statements, to perform audit procedures to help identify instances of non-compliance with other laws and regulations that may have a material effect on the financial statements, and to respond appropriately to identified or suspected non-compliance with laws and regulations identified during the audit.

Ooni Limited

Independent Auditor's Report to the Members of Ooni Limited (continued)

In relation to fraud, the objectives of our audit are to identify and assess the risk of material misstatement of the financial statements due to fraud, to obtain sufficient appropriate audit evidence regarding the assessed risks of material misstatement due to fraud through designing and implementing appropriate responses, and to respond appropriately to fraud or suspected fraud identified during the audit.

However, it is the primary responsibility of management, with the oversight of those charged with governance, to ensure that the entity's operations are conducted in accordance with the provisions of laws and regulations and for the prevention and detection of fraud.

In identifying and assessing risks of material misstatement in respect of irregularities, including fraud, the group audit engagement team:

- obtained an understanding of the nature of the industry and sector, including the legal and regulatory framework that the group and parent company operate in and how the group and parent company are complying with the legal and regulatory framework;
- inquired of management, and those charged with governance, about their own identification and assessment of the risks of irregularities, including any known actual, suspected or alleged instances of fraud;
- discussed matters about non-compliance with laws and regulations and how fraud might occur including assessment of how and where the financial statements may be susceptible to fraud.

As a result of these procedures we consider the most significant laws and regulations that have a direct impact on the financial statements are FRS 102 and the Companies Act 2006. We performed audit procedures to detect non-compliances which may have a material impact on the financial statements which included reviewing financial statement disclosures.

The group audit engagement team identified management override of controls, revenue recognition in relation to existence and cut off and inventory cut-off and valuation as the areas where the financial statements were most susceptible to material misstatement due to fraud. Audit procedures performed included but were not limited to testing manual journal entries and other adjustments and evaluating the business rationale in relation to significant, unusual transactions and transactions entered into outside the normal course of business. Audit procedures performed on revenue recognition included but were not limited to testing revenue transactions around the year-end date and reconciliation of goods dispatches to revenue recognised in the year. Procedures performed in relation to inventory cut-off and valuation included but were not limited to testing stock transactions around the year-end date, to testing the valuation of inventory items, challenging judgments and estimates applied in the valuation, and reviewing the inventory provision.

A further description of our responsibilities for the audit of the financial statements is located on the Financial Reporting Council's website at: www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

Use of our report

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

Ooni Limited

Independent Auditor's Report to the Members of Ooni Limited (continued)

K Morrison

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Katie Morrison (Senior Statutory Auditor)
For and on behalf of RSM UK Audit LLP, Statutory Auditor

Third Floor
Centenary House
69 Wellington Street
Glasgow
G2 6HG

12 October 2023

Ooni Limited

Consolidated Profit and Loss Account for the Year Ended 31 December 2022

	Note	2022 £	2021 £
Turnover	3	207,950,656	207,979,882
Cost of sales		<u>(96,636,255)</u>	<u>(98,789,223)</u>
Gross profit		111,314,401	109,190,659
Distribution costs		(39,101,292)	(18,179,760)
Administrative expenses		(72,183,649)	(46,656,166)
Other operating income		<u>-</u>	<u>679,131</u>
Operating profit	6	29,460	45,033,864
Interest payable and similar expenses	8	<u>(1,468,021)</u>	<u>(8,417)</u>
(Loss)/profit before tax		(1,438,561)	45,025,447
Tax on (loss)/profit	9	<u>(345,128)</u>	<u>(5,169,886)</u>
(Loss)/profit for the financial year		<u><u>(1,783,689)</u></u>	<u><u>39,855,561</u></u>
Profit/(loss) attributable to:			
Owners of the company		<u><u>(1,783,689)</u></u>	<u><u>39,855,561</u></u>

The above results were derived from continuing operations.

The group has no recognised gains or losses for the year other than the results above.

The notes on pages 20 to 43 form an integral part of these financial statements.

Ooni Limited

(Registration number: Ooni Limited: 08316049) Consolidated Balance Sheet as at 31 December 2022

	Note	2022 £	2021 £
Fixed assets			
Intangible assets	12	554,368	-
Tangible assets	11	<u>3,429,280</u>	<u>1,007,160</u>
		<u>3,983,648</u>	<u>1,007,160</u>
Current assets			
Stocks	14	56,075,675	47,281,576
Debtors	15	25,688,884	43,272,837
Cash at bank and in hand		<u>7,877,609</u>	<u>5,111,405</u>
		89,642,168	95,665,818
Creditors: Amounts falling due within one year	16	<u>(48,728,108)</u>	<u>(48,332,592)</u>
Net current assets		<u>40,914,060</u>	<u>47,333,226</u>
Total assets less current liabilities		44,897,708	48,340,386
Provisions for liabilities		<u>(336,687)</u>	<u>(48,096)</u>
Net assets		<u>44,561,021</u>	<u>48,292,290</u>
Capital and reserves			
Called up share capital	19	15	411
Share premium reserve		71,599	71,599
Retained earnings		<u>44,489,407</u>	<u>48,220,280</u>
Equity attributable to owners of the company		<u>44,561,021</u>	<u>48,292,290</u>
Shareholders' funds		<u>44,561,021</u>	<u>48,292,290</u>

Approved and authorised by the Board on 12 October 2023 and signed on its behalf by:



.....
A Brown
Director

Ooni Limited

(Registration number: Ooni Limited: 08316049)
Balance Sheet as at 31 December 2022

	Note	2022 £	2021 £
Fixed assets			
Intangible assets	12	554,368	-
Tangible assets	11	2,566,574	966,551
Investments	13	39,811	75
		<u>3,160,753</u>	<u>966,626</u>
Current assets			
Stocks	14	18,723,022	17,995,496
Debtors	15	49,714,196	62,960,650
Cash at bank and in hand		<u>2,445,526</u>	<u>3,149,192</u>
		70,882,744	84,105,338
Creditors: Amounts falling due within one year	16	<u>(34,379,351)</u>	<u>(37,948,672)</u>
Net current assets		<u>36,503,393</u>	<u>46,156,666</u>
Total assets less current liabilities		39,664,146	47,123,292
Provisions for liabilities		<u>(336,687)</u>	<u>(48,096)</u>
Net assets		<u>39,327,459</u>	<u>47,075,196</u>
Capital and reserves			
Called up share capital	19	15	411
Share premium reserve		71,599	71,599
Retained earnings		<u>39,255,845</u>	<u>47,003,186</u>
Shareholders' funds		<u>39,327,459</u>	<u>47,075,196</u>

The company made a loss after tax for the financial year of £ 5,721,548 (2021 - profit of £37,896,898).

As permitted by section 408 of the Companies Act 2006, the Company has not presented its own profit and loss account and related notes as it prepares consolidated accounts.

Approved and authorised by the Board on 12 October 2023 and signed on its behalf by:



.....
A Brown
Director

Ooni Limited

Consolidated Statement of Changes in Equity for the Year Ended 31 December 2022
Equity attributable to the parent company

	Share capital £	Share premium £	Retained earnings £	Total equity £
At 1 January 2022	411	71,599	48,220,280	48,292,290
Loss for the year	-	-	(1,783,689)	(1,783,689)
Dividends	-	-	(2,036,189)	(2,036,189)
Reduction in share capital	(396)	-	396	-
Share based payment transactions	-	-	10,000	10,000
Other movements on reserves	-	-	78,609	78,609
At 31 December 2022	15	71,599	44,489,407	44,561,021

	Share capital £	Share premium £	Retained earnings £	Total equity £
At 1 January 2021	411	71,599	10,477,569	10,549,579
Profit for the year	-	-	39,855,561	39,855,561
Dividends	-	-	(2,122,850)	(2,122,850)
Share based payment transactions	-	-	10,000	10,000
At 31 December 2021	411	71,599	48,220,280	48,292,290

The notes on pages 20 to 43 form an integral part of these financial statements.

Ooni Limited

Company Statement of Changes in Equity for the Year Ended 31 December 2022

	Share capital £	Share premium £	Retained earnings £	Total £
At 1 January 2022	411	71,599	47,003,186	47,075,196
Loss for the year	-	-	(5,721,548)	(5,721,548)
Dividends	-	-	(2,036,189)	(2,036,189)
Reduction in share capital	(396)	-	396	-
Share based payment transactions	-	-	10,000	10,000
At 31 December 2022	15	71,599	39,255,845	39,327,459

	Share capital £	Share premium £	Retained earnings £	Total £
At 1 January 2021	411	71,599	11,219,138	11,291,148
Profit for the year	-	-	37,896,898	37,896,898
Dividends	-	-	(2,122,850)	(2,122,850)
Share based payment transactions	-	-	10,000	10,000
At 31 December 2021	411	71,599	47,003,186	47,075,196

The notes on pages 20 to 43 form an integral part of these financial statements.

Ooni Limited

Consolidated Statement of Cash Flows for the Year Ended 31 December 2022

	Note	2022 £	2021 £
Cash flows from operating activities			
(Loss)/profit for the year		(1,783,690)	39,855,561
Adjustments to cash flows from non-cash items			
Depreciation and amortisation	6	494,374	338,302
Finance costs		1,468,021	8,417
Share based payment transactions		10,000	10,000
Corporation tax	9	345,128	5,169,886
Foreign exchange gains/losses		411,225	85,027
		<u>945,058</u>	<u>45,467,193</u>
Working capital adjustments			
Increase in stocks	14	(8,794,099)	(40,231,428)
Decrease/(increase) in trade debtors	15	18,256,623	(35,814,054)
(Decrease)/increase in trade creditors	16	(8,036,387)	11,228,080
Cash generated from operations		2,371,195	(19,350,209)
Interest paid		(1,468,021)	(8,417)
Tax paid		(5,690,280)	(1,230,985)
Net cash flow from operating activities		<u>(4,787,106)</u>	<u>(20,589,611)</u>
Cash flows from investing activities			
Acquisitions of tangible assets		(2,916,494)	(810,537)
Acquisition of intangible assets	12	(554,368)	-
Net cash flows from investing activities		<u>(3,470,862)</u>	<u>(810,537)</u>
Cash flows from financing activities			
Drawdown of bank borrowing		13,449,510	15,143,696
Dividends paid		(2,036,189)	(2,122,850)
Net cash flows from financing activities		<u>11,413,321</u>	<u>13,020,846</u>
Net increase/(decrease) in cash and cash equivalents		3,155,353	(8,379,302)
Cash and cash equivalents at 1 January		5,111,405	13,575,734
Effect of exchange rate fluctuations on cash held		(389,149)	(85,027)
Cash and cash equivalents at 31 December		<u><u>7,877,609</u></u>	<u><u>5,111,405</u></u>

The notes on pages 20 to 43 form an integral part of these financial statements.

Ooni Limited

Notes to the Financial Statements for the Year Ended 31 December 2022

1 Accounting policies

Company information

Ooni Limited ("the company") is a private company limited by shares and is registered and incorporated in England and Wales. The address of its registered office is:

Walderslade Accounting Services
105 Hopewell Business Centre Unit 20
Hopewell Drive
Chatham
Kent
ME5 7DX

The group consists of Ooni Limited and all of its subsidiaries.

The company's and the group's principal activities and nature of its operations are disclosed in the Directors' Report.

Accounting convention

These financial statements have been prepared in accordance with FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland" ("FRS 102") and the requirements of the Companies Act 2006, including the provisions of the Large and Medium sized Companies and Groups (Accounts and Reports) Regulations 2008.

The financial statements are prepared in sterling , which is the functional currency of the company. Monetary amounts in these financial statements are rounded to the nearest £.

The financial statements have been prepared under the historical cost convention. The principal accounting policies adopted are set out below.

The company is a qualifying entity for the purposes of FRS 102, being a member of a group where the parent of that group prepares publicly available consolidated financial statements, including this company, which are intended to give a true and fair view of the assets, liabilities, financial position and profit or loss of the group. The company has therefore taken advantage of exemptions from the following disclosure requirements for parent company information presented within the consolidated financial statements:

- Section 7 'Statement of Cash Flows' - Presentation of a statement of cash flow and related notes and disclosures;
- Section 33 'Related Party Disclosures' - Compensation for key management personnel.

Ooni Limited

Notes to the Financial Statements for the Year Ended 31 December 2022 (continued)

1 Accounting policies (continued)

Basis of consolidation

The group financial statements consolidate the financial statements of the company and its subsidiary undertakings drawn up to 31 December 2022.

A subsidiary is an entity controlled by the company. Control is achieved where the company has the power to govern the financial and operating policies of an entity so as to obtain benefits from its activities.

The results of subsidiaries acquired or disposed of during the year are included in the Profit and Loss Account from the effective date of acquisition or up to the effective date of disposal, as appropriate. Where necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies into line with those used by the group.

The purchase method of accounting is used to account for business combinations that result in the acquisition of subsidiaries by the group. The cost of a business combination is measured as the fair value of the assets given, equity instruments issued and liabilities incurred or assumed at the date of exchange, plus costs directly attributable to the business combination. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date. Any excess of the cost of the business combination over the acquirer's interest in the net fair value of the identifiable assets, liabilities and contingent liabilities recognised is recorded as goodwill.

Inter-company transactions, balances and unrealised gains on transactions between the company and its subsidiaries, which are related parties, are eliminated in full.

Intra-group losses are also eliminated but may indicate an impairment that requires recognition in the consolidated financial statements.

Accounting policies of subsidiaries have been changed where necessary to ensure consistency with the policies adopted by the group. Non-controlling interests in the net assets of consolidated subsidiaries are identified separately from the group's equity therein. Non-controlling interests consist of the amount of those interests at the date of the original business combination and the non-controlling shareholder's share of changes in equity since the date of the combination.

Ooni Limited

Notes to the Financial Statements for the Year Ended 31 December 2022 (continued)

1 Accounting policies (continued)

Going concern

At 31 December the Group's cash position was £7.9m. Drawings on the revolving credit facility were £28.6m. The group returns to profitability in its results and forecasts and positive cash flow generation is expected in the next financial year and beyond. The Directors have reviewed the current performance and cash flow forecasts, and are satisfied that the group's forecasts and projections, taking account of potential changes in trading performance, show that the group will be able to operate within its facilities for the foreseeable future, and at a minimum for 12 months from the date of signing the financial statements.

The Group's revolving credit facility is due for renewal in February 2024. Based on forecasts, and sensitivities, it is unlikely that a similar facility that is currently in place will be required, however to provide additional comfort for operational cashflow and future investment, the directors are confident that an appropriate facility will be in place to succeed this lending.

The Directors have therefore continued to accept the going concern basis in preparing the group's financial statements.

Turnover

Turnover comprises the fair value of the consideration received or receivable for the sale of goods and provision of services in the ordinary course of the group's activities. Turnover is shown net of sales/value added tax, returns, rebates and discounts and after eliminating sales within the group.

The group recognises revenue when:

The amount of revenue can be reliably measured;
it is probable that future economic benefits will flow to the entity;
and specific criteria have been met for each of the group's activities.

Research and development expenditure

Research expenditure is written off against profits in the year in which it is incurred. Identifiable development expenditure is capitalised to the extent that the technical, commercial and financial feasibility can be demonstrated .

Tangible assets

Tangible assets are stated in the balance sheet at cost, less any subsequent accumulated depreciation and subsequent accumulated impairment losses. The cost of tangible assets includes directly attributable incremental costs incurred in their acquisition and installation.

The gain or loss arising on the disposal of an asset is determined as the difference between the sale proceeds and the carrying value of the asset, and is credited or charged to profit or loss.

Ooni Limited

Notes to the Financial Statements for the Year Ended 31 December 2022 (continued)

1 Accounting policies (continued)

Intangible assets

Separately acquired trademarks and licences are shown at historical cost.

Trademarks, licences (including software) and customer-related intangible assets acquired in a business combination are recognised at fair value at the acquisition date. Trademarks, licences and customer-related intangible assets have a finite useful life and are carried at cost less accumulated amortisation and any accumulated impairment losses.

Amortisation is provided on intangible assets so as to write off the cost, less any estimated residual value, over their useful life.

Impairment of fixed assets

Depreciation is charged so as to write off the cost of assets, other than land and properties under construction (which are not depreciated) over their estimated useful lives, as follows:

Asset class	Depreciation method and rate
Leashold and buildings	20% straight line
Plant and equipment	25% straight line
Furniture and fittings	25% straight line
Motor vehicles	25% straight line
Other tangible assets	50% straight line

Fixed asset investments

In the separate accounts of the company, interests in subsidiaries are initially measured at cost and subsequently measured at cost less any accumulated impairment losses. The investments are assessed for impairment at each reporting date and any impairment losses or reversals of impairment losses are recognised immediately in profit or loss.

A subsidiary is an entity controlled by the group. Control is the power to govern the financial and operating policies of the entity so as to obtain benefits from its activities.

Stocks

Stocks are stated at the lower of cost and estimated selling price less costs to complete and sell. Cost is determined using the first-in, first-out (FIFO) method.

The cost of finished goods and work in progress comprises direct materials and, where applicable, direct labour costs and those overheads that have been incurred in bringing the inventories to their present location and condition. At each reporting date, stocks are assessed for impairment. If stocks are impaired, the carrying amount is reduced to its selling price less costs to complete and sell; the impairment loss is recognised immediately in profit or loss.

Cash and cash equivalents

Cash and cash equivalents comprise cash on hand and call deposits, and other short-term highly liquid investments that are readily convertible to a known amount of cash and are subject to an insignificant risk of change in value.

Ooni Limited

Notes to the Financial Statements for the Year Ended 31 December 2022 (continued)

1 Accounting policies (continued)

Derecognition of financial assets

Financial assets are derecognised only when the contractual rights to the cash flows from the asset expire or are settled, or when the group transfers the financial asset and substantially all the risks and rewards of ownership to another entity, or if some significant risks and rewards of ownership are retained but control of the asset has transferred to another party that is able to sell the asset in its entirety to an unrelated third party.

Classification of financial liabilities

Financial liabilities and equity instruments are classified according to the substance of the contractual arrangements entered into. An equity instrument is any contract that evidences a residual interest in the assets of the group after deducting all of its liabilities.

Basic financial liabilities

Basic financial liabilities, including trade and other creditors, bank loans, loans from fellow group companies and preference shares that are classified as debt, are initially recognised at transaction price unless the arrangement constitutes a financing transaction, where the debt instrument is measured at the present value of the future payments discounted at a market rate of interest.

Debt instruments are subsequently carried at amortised cost, using the effective interest rate method.

Derecognition of financial liabilities

Financial liabilities are derecognised when, and only when, the group's contractual obligations are discharged, cancelled, or they expire.

Equity instruments

Equity instruments issued by the group are recorded at the fair value of proceeds received, net of transaction costs. Dividends payable on equity instruments are recognised as liabilities once they are no longer at the discretion of the group.

Ooni Limited

Notes to the Financial Statements for the Year Ended 31 December 2022 (continued)

1 Accounting policies (continued)

Financial instruments

Classification

The group has elected to apply the provisions of Section 11 'Basic Financial Instruments' and Section 12 'Other Financial Instruments Issues' of FRS 102 to all of its financial instruments.

Recognition and measurement

Financial instruments are recognised when the group becomes party to the contractual provisions of the instrument.

Financial assets and liabilities are offset and the net amounts presented in the financial statements when there is a legally enforceable right to set off the recognised amounts and there is an intention to settle on a net basis or to realise the asset and settle the liability simultaneously.

Basic financial assets

Basic financial assets, which include trade and other debtors and cash and bank balances, are initially measured at transaction price including transaction costs and are subsequently carried at amortised cost using the effective interest method unless the arrangement constitutes a financing transaction, where the financial asset is measured at the present value of the future receipts discounted at a market rate of interest.

Impairment

Financial assets, other than those held at fair value through profit and loss, are assessed for indicators of impairment at each reporting end date.

Financial assets are impaired where there is objective evidence that, as a result of one or more events that occurred after the initial recognition of the financial asset, the estimated future cash flows have been affected. If an asset is impaired, the impairment loss is the difference between the carrying amount and the present value of the estimated cash flows discounted at the asset's original effective interest rate. The impairment loss is recognised in profit or loss.

If there is a decrease in the impairment loss arising from an event occurring after the impairment was recognised, the impairment is reversed. The reversal is such that the current carrying amount does not exceed what the carrying amount would have been, had the impairment not previously been recognised. The impairment reversal is recognised in profit or loss.

Leases

Leases in which substantially all the risks and rewards of ownership are retained by the lessor are classified as operating leases. Payments made under operating leases are charged to profit or loss on a straight-line basis over the period of the lease.

Ooni Limited

Notes to the Financial Statements for the Year Ended 31 December 2022 (continued)

1 Accounting policies (continued)

Foreign currency transactions and balances

Transactions in foreign currencies are initially recorded at the functional currency rate prevailing at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are retranslated into the respective functional currency of the entity at the rates prevailing on the reporting period date. Non-monetary items carried at fair value that are denominated in foreign currencies are retranslated at the rate on the date when the fair value is re-measured.

Non-monetary items measured in terms of historical cost in a foreign currency are not retranslated.

Tax

The tax expense for the period comprises current and deferred tax. Tax is recognised in profit or loss, except that a change attributable to an item of income or expense recognised as other comprehensive income is also recognised directly in other comprehensive income.

The current income tax charge is calculated on the basis of tax rates and laws that have been enacted or substantively enacted by the reporting date in the countries where the group operates and generates taxable income.

Deferred tax is recognised in respect of all timing differences between taxable profits and profits reported in the consolidated financial statements.

Unrelieved tax losses and other deferred tax assets are recognised when it is probable that they will be recovered against the reversal of deferred tax liabilities or other future taxable profits.

Deferred tax is measured using the tax rates and laws that have been enacted or substantively enacted by the reporting date and that are expected to apply to the reversal of the timing difference.

Employee benefits

The costs of short-term employee benefits are recognised as a liability and an expense, unless those costs are required to be recognised as part of the cost of stock or fixed assets.

The cost of any unused holiday entitlement is recognised in the period in which the employee's services are received.

Termination benefits are recognised immediately as an expense when the company is demonstrably committed to terminate the employment of an employee or to provide termination benefits.

Retirement benefits

For defined contribution schemes the amount charged to profit or loss is the contributions payable in the year. Differences between contributions payable in the year and contributions actually paid are shown as either accruals or prepayments.

Ooni Limited

Notes to the Financial Statements for the Year Ended 31 December 2022 (continued)

1 Accounting policies (continued)

Share based payments

Equity-settled share-based payments are measured at fair value at the date of grant by reference to the fair value of the equity instruments granted using the Black Scholes model. The fair value determined at the grant date is expensed on a straight-line basis over the vesting period, based on the estimate of shares that will eventually vest. A corresponding adjustment is made to equity.

When the terms and conditions of equity-settled share-based payments at the time they were granted are subsequently modified, the fair value of the share-based payment under the original terms and conditions and under the modified terms and conditions are both determined at the date of the modification. Any excess of the modified fair value over the original fair value is recognised over the remaining vesting period in addition to the grant date fair value of the original share-based payment. The share-based payment expense is not adjusted if the modified fair value is less than the original fair value.

Cancellations or settlements (including those resulting from employee redundancies) are treated as an acceleration of vesting and the amount that would have been recognised over the remaining vesting period is recognised immediately.

2 Judgements and key sources of estimation uncertainty

In the application of the group's accounting policies, the directors are required to make judgements, estimates and assumptions about the carrying amount of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

In determining the year end stock valuation, the group applies a blended average freight rate to calculate the total cost of overheads that have been incurred in bringing the inventories to each storage location. This blended average uses actual costs per shipment, however, in periods when freight rates are fluctuate, there is a level of estimation in determining how far to look back across these shipments to apply to current inventory holdings.

At the end of the period, the effect of varying this look back period to any reasonable alternative would not result in a material change in the group's stock valuation.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised where the revision affects only that period, or in the period of the revision and future periods where the revision affects both current and future periods.

3 Turnover

The analysis of the group's turnover for the year from continuing operations is as follows:

	2022	2021
	£	£
Sale of goods	207,950,656	207,979,882

The geographical split is not disclosed in these accounts as it is considered seriously prejudicial to the group.

Ooni Limited

Notes to the Financial Statements for the Year Ended 31 December 2022 (continued)

4 Staff costs

The average number of persons employed by the group (including directors) during the year, analysed by category was as follows:

	2022 No.	2021 No.
Administration and support	270	141
Management	7	6
	<u>277</u>	<u>147</u>

The aggregate payroll costs (including directors' remuneration) were as follows:

	2022 £	2021 £
Wages and salaries	14,556,959	7,391,232
Social security costs	1,439,086	763,145
Other short-term employee benefits	1,179,708	187,827
Pension costs, defined contribution scheme	471,840	323,013
Other employee expense	489,943	289,274
	<u>18,137,536</u>	<u>8,954,491</u>

5 Directors' remuneration

The directors' remuneration for the year was as follows:

	2022 £	2021 £
Remuneration	246,462	165,417
Directors' pension costs	30,193	25,431
	<u>276,655</u>	<u>190,848</u>

During the year the number of directors who were receiving benefits and share incentives was as follows:

	2022 No.	2021 No.
Accruing benefits under money purchase pension scheme	<u>3</u>	<u>3</u>

Ooni Limited

Notes to the Financial Statements for the Year Ended 31 December 2022 (continued)

5 Directors' remuneration (continued)

In respect of the highest paid director:

	2022 £	2021 £
Remuneration	220,962	140,417
Company contributions to money purchase pension schemes	<u>17,285</u>	<u>11,831</u>

During the current and previous year, two of the directors received remuneration by way of dividend.

6 Operating profit

Arrived at after charging/(crediting)

	2022 £	2021 £
Depreciation expense	494,374	338,302
Research and development cost	734,392	311,966
Foreign exchange gains	(1,618,749)	(1,180,495)
Operating lease expense - property	814,827	184,119
Share based payment transactions	<u>10,000</u>	<u>10,000</u>

7 Auditors' remuneration

	2022 £	2021 £
Fees payable to the company's auditor and associates:		
Audit of these financial statements	<u>65,000</u>	<u>33,500</u>
Other fees to auditors		
All other tax advisory services	-	5,000
All other non-audit services	<u>4,468</u>	<u>7,500</u>
	<u>4,468</u>	<u>12,500</u>

8 Interest payable and similar expenses

	2022 £	2021 £
Interest on bank overdrafts and borrowings	1,468,021	4,743
Other finance costs	<u>-</u>	<u>3,674</u>
	<u>1,468,021</u>	<u>8,417</u>

Ooni Limited

Notes to the Financial Statements for the Year Ended 31 December 2022 (continued)

9 Taxation

Tax charged/(credited) in the consolidated profit and loss account

	2022 £	2021 £
Current taxation		
UK corporation tax	424,159	5,325,017
UK corporation tax adjustment to prior periods	<u>(367,623)</u>	<u>(203,227)</u>
	<u>56,536</u>	<u>5,121,790</u>
Deferred taxation		
Arising from origination and reversal of timing differences	229,320	36,553
Changes in tax rates	72,417	11,543
Adjustment in respect of previous periods	<u>(13,145)</u>	<u>-</u>
Total deferred taxation	<u>288,592</u>	<u>48,096</u>
Tax expense in the income statement	<u><u>345,128</u></u>	<u><u>5,169,886</u></u>

Ooni Limited

Notes to the Financial Statements for the Year Ended 31 December 2022 (continued)

9 Taxation (continued)

The total tax on profit before tax for the year is higher than the standard rate of corporation tax in the UK (2021 - lower than the standard rate of corporation tax in the UK) of 19% (2021 - 19%).

The differences are reconciled below:

	2022 £	2021 £
(Loss)/profit before tax	<u>(1,438,561)</u>	<u>45,025,447</u>
Corporation tax at standard rate	(273,327)	8,554,835
Effect of revenues exempt from taxation	(490,865)	-
Effect of expense not deductible in determining taxable profit (tax loss)	206,706	135,856
Effect of foreign tax rates	-	44,918
Deferred tax (credit)/expense relating to changes in tax rates or laws	(162,538)	11,543
Deferred tax asset/(debit) from unrecognised tax loss or credit	1,445,920	(104,026)
Deferred tax credit from unrecognised temporary difference from a prior period	(380,768)	(245,847)
Tax decrease from effect of adjustment in research and development tax credit	<u>-</u>	<u>(3,227,393)</u>
Total tax charge	<u><u>345,128</u></u>	<u><u>5,169,886</u></u>

Changes to the UK corporation tax rates were substantively enacted as part of Finance Bill 2021 (on 24 May 2021). These changes included an increase in the main rate to 25% from April 2023. This change has no significant impact on these financial statements.

There are tax losses of £7,198,874 relating to the company which have not been recognised due to uncertainty over their recoverability.

Ooni Limited

Notes to the Financial Statements for the Year Ended 31 December 2022 (continued)

9 Taxation (continued)

Deferred tax Group

	Net Liability £
2022	
Accelerated capital allowances	423,420
Short-term timing differences	(86,733)
	<u>336,687</u>
	Net Liability £
2021	
Accelerated capital allowances	138,100
Short-term timing differences	(90,004)
	<u>48,096</u>

Company

	Net Liability £
2022	
Accelerated capital allowances	423,420
Short-term timing differences	(86,733)
	<u>336,687</u>
	Net Liability £
2021	
Accelerated capital allowances	138,100
Short-term timing differences	(90,004)
	<u>48,096</u>

10 Final Dividends

	2022 £	2021 £
Final dividend of £2,036,189 (2021 - £2,122,850)	<u>2,036,189</u>	<u>2,122,850</u>

Ooni Limited

Notes to the Financial Statements for the Year Ended 31 December 2022 (continued)

11 Tangible assets

Group

	Land and buildings £	Properties under construction £	Plant and equipment £	Furniture and fittings £	Motor vehicles £	Other tangible assets £	Total £
Cost or valuation							
At 1 January 2022	311,699	-	1,046,222	534,897	-	-	1,892,818
Additions	46,254	1,185,758	470,009	508,777	49,397	658,118	2,918,313
At 31 December 2022	357,953	1,185,758	1,516,231	1,043,674	49,397	658,118	4,811,131
Depreciation							
At 1 January 2022	203,794	-	472,541	209,323	-	-	885,658
Charge for the year	67,166	-	282,367	138,427	8,233	-	496,193
At 31 December 2022	270,960	-	754,908	347,750	8,233	-	1,381,851
Carrying amount							
At 31 December 2022	86,993	1,185,758	761,323	695,924	41,164	658,118	3,429,280
At 31 December 2021	107,905	-	573,680	325,575	-	-	1,007,160

Included within the net book value of land and buildings above is £86,993 (2021 - £107,905) in respect of long leasehold land and buildings.

Ooni Limited

Notes to the Financial Statements for the Year Ended 31 December 2022 (continued)

11 Tangible assets (continued)

Company

	Land and buildings £	Properties under construction £	Plant and equipment £	Furniture and fittings £	Motor vehicles £	Other tangible assets £	Total £
Cost or valuation							
At 1 January 2022	311,699	-	1,046,222	486,537	-	-	1,844,458
Additions	-	1,185,758	470,009	337,385	49,397	27,506	2,070,055
At 31 December 2022	311,699	1,185,758	1,516,231	823,922	49,397	27,506	3,914,513
Depreciation							
At 1 January 2022	203,794	-	472,541	201,574	-	-	877,909
Charge for the year	67,123	-	282,367	112,307	8,233	-	470,030
At 31 December 2022	270,917	-	754,908	313,881	8,233	-	1,347,939
Carrying amount							
At 31 December 2022	40,782	1,185,758	761,323	510,041	41,164	27,506	2,566,574
At 31 December 2021	107,905	-	573,681	284,965	-	-	966,551

Included within the net book value of land and buildings above is £40,782 (2021 - £107,905) in respect of long leasehold land and buildings.

Ooni Limited

Notes to the Financial Statements for the Year Ended 31 December 2022 (continued)

12 Intangible assets

Group and Company

	Trademarks, patents and licenses £	Internally generated software development costs £	Total £
Cost or valuation			
Additions acquired separately	284,415	269,953	554,368
At 31 December 2022	284,415	269,953	554,368
Amortisation			
At 1 January 2022	-	-	-
Amortisation charge	-	-	-
At 31 December 2022	-	-	-
Carrying amount			
At 31 December 2022	284,415	269,953	554,368

Ooni Limited

Notes to the Financial Statements for the Year Ended 31 December 2022 (continued)

13 Investments

Company

	2022 £	2021 £
Investments in subsidiaries	<u>39,811</u>	<u>75</u>

Subsidiaries

£

Cost or valuation

At 1 January 2022 75

Additions 39,736

At 31 December 2022 39,811

Provision

Provision -

Carrying amount

At 31 December 2022 39,811

At 31 December 2021 75

Ooni Limited

Notes to the Financial Statements for the Year Ended 31 December 2022 (continued)

13 Investments (continued)

Details of undertakings

Details of the investments in which the company holds 20% or more of the nominal value of any class of share capital are as follows:

Undertaking	Registered office	Holding	Proportion of voting rights and shares held	
			2022	2021
Subsidiary undertakings				
Ooni Inc	2140 South Dupont Highway, Camden, Kent DE 19934	Ordinary	100%	100%
Ooni GmbH	Simrockstraße 11, 53113 Bonn	Ordinary	100%	100%
Ooni Pty Limited	Machpherson Kelley, Level 7, 600 Bourke Street, Melbourne VIC 3000	Ordinary	100%	0%
Ooni NZ Limited	Tompkins Wake, Level 17, 88 Shortland Street, Auckland Central, Auckland, 1010, NZ	Ordinary	100%	0%
Ooni Canada Inc	66 Wellington Street West, Suite 4100, Toronto, Ontario, Canada, M5K 1B7	Ordinary	100%	0%
Ooni SAS	52 Boulevard de Sebastopol, 75003, Paris, France	Ordinary	100%	0%
Ooni Srl	Viale Monte Santo. 1/3, 20124 Milano	Ordinary	100%	0%
Ooni Finland Oy	Jaakonkatu 3 HelsinkiFinland	A00100 Ordinary	100%	0%
Ooni International Trading Shanghai Co., Ltd	Room 328, Huibo Center, No 231, Shibocun Road, Pudong New District, Shanghai	Ordinary	100%	0%

Ooni Limited

Notes to the Financial Statements for the Year Ended 31 December 2022 (continued)

13 Investments (continued)

The principal activity of all the subsidiaries listed below is the sale and distribution of pizza ovens and related accessories:

Ooni Inc

Ooni GmbH

Ooni Pty Limited

Ooni NZ Limited

Ooni Canada Inc

The principal activity of all the subsidiaries listed below is the local sale and marketing or quality control activities for the Ooni Group:

Ooni SAS

Ooni Srl

Ooni Finland Oy

Ooni International Trading Shanghai Co., Ltd

14 Stocks

	Group		Company	
	2022	2021	2022	2021
	£	£	£	£
Finished goods and goods for resale	<u>56,075,675</u>	<u>47,281,576</u>	<u>18,723,022</u>	<u>17,995,496</u>

15 Debtors

		Group		Company	
		2022	2021	2022	2021
		£	£	£	£
Current	Note				
Trade debtors		16,549,653	22,551,104	2,911,146	8,815,989
Amounts owed by group undertakings	24	-	-	38,672,995	35,892,233
Loans to related parties		-	1,886,043	-	1,886,043
Other debtors		805,708	159,988	704,959	60,113
Prepayments		7,660,849	18,675,702	6,546,099	16,306,272
Corporation tax recoverable		<u>672,674</u>	<u>-</u>	<u>878,997</u>	<u>-</u>
		<u>25,688,884</u>	<u>43,272,837</u>	<u>49,714,196</u>	<u>62,960,650</u>

Amounts owed by group undertakings are repayable on demand and interest free.

Ooni Limited

Notes to the Financial Statements for the Year Ended 31 December 2022 (continued)

16 Creditors

		Group		Company	
	Note	2022	2021	2022	2021
		£	£	£	£
Due within one year					
Loans and borrowings	17	28,593,206	15,143,696	28,593,206	15,143,696
Trade creditors		11,900,639	16,472,450	3,921,267	9,620,696
Income tax liability		-	4,879,169	-	4,732,339
Social security and other taxes		2,916,129	389,123	(46,006)	886,493
Outstanding defined contribution pension costs		86,657	-	75,657	-
Other payables		280,545	1,511,962	(36,773)	1,225,569
Accruals and Deferred income		4,950,932	9,936,192	1,872,000	6,339,879
		<u>48,728,108</u>	<u>48,332,592</u>	<u>34,379,351</u>	<u>37,948,672</u>

The amounts included within bank loans above are secured by a fixed and floating charge over the assets of the parent company.

17 Loans and borrowings

	Group		Company	
	2022	2021	2022	2021
	£	£	£	£
Current loans and borrowings				
Bank borrowings	<u>28,593,206</u>	<u>15,143,696</u>	<u>28,593,206</u>	<u>15,143,696</u>

The above bank loan borrowings are payable within one year and are subject to a variable rate of interest.

Ooni Limited

Notes to the Financial Statements for the Year Ended 31 December 2022 (continued)

18 Retirement benefit schemes

Defined contribution pension scheme

The group operates a defined contribution pension scheme. The pension cost charge for the year represents contributions payable by the group to the scheme and amounted to £471,839 (2021 - £323,013). A defined contribution pension scheme is operated for all qualifying employees. The assets of the scheme are held separately from those of the group in an independently administered fund. Contributions totalling £86,657 (2021 - £57,341) were payable to the scheme at the end of the year and are included in creditors.

19 Share capital

Allotted, called up and fully paid shares

	2022		2021	
	No.	£	No.	£
Ordinary A shares of 0.001p each	996,390	10	1,000,000	10
Ordinary B shares of 0.001p each	147,808	1	138,000	1
Ordinary B1 shares of 0.001p each	138,000	1	-	-
Ordinary C shares of 0.001p each	32,500	-	32,500	325
Ordinary D shares of 0.001p each	200,640	2	-	-
Deferred shares of 0.001p each	7,500	-	7,500	75
	<u>1,522,838</u>	<u>15</u>	<u>1,178,000</u>	<u>411</u>

During the year the following share capital changes occurred on 26 January 2022:

3,610 A shares were reclassified as B shares

138,000 B shares were reclassified as B1 shares

On Issue of 144,198 B shares and issue of 200,640 D shares

Rights, preferences and restrictions:

The ordinary A shares full voting rights as well as rights to dividends.

The ordinary B shares have rights to dividends but no voting rights attached to them.

The ordinary B1 shares have full voting rights as well as rights to dividends.

The ordinary C shares have rights to capital returns but no voting or dividend rights attached to them.

The ordinary D shares have rights to capital returns but no voting rights attached to them.

The deferred shares have no rights to voting, dividends or capital.

Ooni Limited

Notes to the Financial Statements for the Year Ended 31 December 2022 (continued)

20 Share-based payment transactions

At 31 December 2022, the company has the following share-based arrangements:

EMI Share options

Scheme details and movements

In November 2019, the company established an EMI Share options programme that entitled employees to purchase 5% of the ordinary share capital of the company. Under the programme, the holder of the vested options was entitled to purchase shares at an agreed exercise price. The key terms and conditions related to the grants under these programmes were as follows; all the options were to be settled by the physical delivery of shares.

The movements in the number of share options during the year were as follows:

	2022 Number	2021 Number
Outstanding, start of period	147,056	147,056
Transferred during the period	(144,198)	-
Outstanding, end of period	<u>2,858</u>	<u>147,056</u>

The weighted average exercise price of share options during the year were as follows:

	2022 £	2021 £
Outstanding, start of period	1.96	1.96
Transferred during the period	(1.00)	-
Outstanding, end of period	<u>0.96</u>	<u>1.96</u>

During the year, the company recognised total share-based payment expenses of £10,000 (2021 - £10,000) which related to equity settled share based payment transactions.

21 Cash and cash equivalents

	Group 2022 £	2021 £	Company 2022 £	2021 £
Cash at bank	<u>7,877,609</u>	<u>5,111,405</u>	<u>2,445,526</u>	<u>3,149,192</u>

Ooni Limited

Notes to the Financial Statements for the Year Ended 31 December 2022 (continued)

22 Analysis of changes in net debt

Group

	At 1 January 2022 £	Financing cash flows £	Foreign exchange movements £	At 31 December 2022 £
Cash and cash equivalents				
Cash	5,111,405	3,155,353	(389,149)	7,877,609
Borrowings				
Short term borrowings	<u>(15,143,696)</u>	<u>(10,918,640)</u>	<u>(2,530,870)</u>	<u>(28,593,206)</u>
	<u>(10,032,291)</u>	<u>(7,763,287)</u>	<u>(2,920,019)</u>	<u>(20,715,597)</u>

23 Obligations under leases and hire purchase contracts

At the reporting end date the group had outstanding commitments for future minimum lease payments under non-cancellable operating leases, which fall due as follows:

Group

Operating leases

The total of future minimum lease payments is as follows:

	2022 £	2021 £
Not later than one year	1,746,045	243,744
Later than one year and not later than five years	6,587,799	244,000
Later than five years	<u>2,821,328</u>	<u>56,655</u>
	<u>11,155,172</u>	<u>544,399</u>

Ooni Limited

Notes to the Financial Statements for the Year Ended 31 December 2022 (continued)

23 Obligations under leases and hire purchase contracts (continued)

Company

Operating leases

The total of future minimum lease payments is as follows:

	2022	2021
	£	£
Not later than one year	758,733	51,991
Later than one year and not later than five years	3,005,595	244,000
Later than five years	2,821,328	56,655
	<u>6,585,656</u>	<u>352,646</u>

The amount of non-cancellable operating lease payments recognized as an expense for the Group during the year was : £814,827 (2021 - £184,119)

The amount of non-cancellable operating lease payments recognized as an expense for the Company during the year was : £214,535 (2021 - £51,991)

24 Related party transactions

Group

The remuneration of key management personnel of the group, which the group considers to include the senior management team and operational directors, is as follows.

Key management compensation

	2022	2021
	£	£
Salaries and other short term employee benefits	<u>2,977,808</u>	<u>754,300</u>

The group has taken advantage of the exemption contained in FRS 102 Section 33.1A and has therefore not disclosed transactions with other members of the Ooni Limited group of companies as they are 100% owned.

25 Controlling party

The ultimate controlling party is Magic Foundary Limited, a company incorporated in Scotland.

26 Events after the reporting date

There are no events after the year end which need to be disclosed.